companies and the IPO was expected to yield a substantial corpus that could be utilized for it. He adds that even if Tata Sons retained only 75 per cent stake of the stake, it would have mattered little as it was adequate to safeguard it from any hostile takeover and continue its control over the company. Besides, after the listing, the remaining 75 per cent would be a 'war chest' that Tata Sons could easily dip into for unforeseen requirements as it did when it required funds to settle its dues with Docomo, he adds.

The opponents of the listing were, however, equally adamant. There were many who strongly advised Ratan against taking TCS public, says Chandrasekaran. The company was a cash engine, and it was feared that if it went public, Tata Sons could lose the opportunity to retain around 50 per cent of the profits. Most of the Tata veterans, however, favoured listing after resolving the outstanding problems.

But many technical problems also had to be ironed out before listing. Tax issues were the most vexatious of them all. Ratan acknowledged this in an interview, saying: 'There are some serious tax issues, in terms of capital gains' that would become a liability for the holding company. Hussain elaborates that they had to wait for certain 'valid amendments to the IT Act so that Indian companies could carry tax efficient ways of restructuring their businesses to access the capital market'. The preparatory work was, therefore, extensive.

Another reason for the delay was the urgency to secure funds to increase the stake of Tata Sons in its group companies. The stalwarts in the group were not in favour of listing TCS until Tata Sons had increased its stake in the major Tata companies. The goal was to raise the stake to at least '25 per cent' and '25–26 per cent in larger companies', says Soonawala.

A related issue that needed to be resolved was the allotment of some portion of the shares to existing shareholders. Ratan chose to transfer 10 per cent of the TCS shares to RDI Print and Publishing Private Ltd, a 100 per cent subsidiary of Tata Sons, for the shareholders. After the release of shares to the public, he also made a provision to ensure that the company would continue to be the source of funds for Tata Sons, says Ishaat Hussain.

Going Public

By the middle of 2004, Tata Sons had substantially increased its stake in its large companies and resolved most of the technical issues. In July that year,